

1 INTRODUCTION

MSME (Micro Small and Medium Enterprises) sectors are growth drivers of our economy. MSME sector accounts for significant share in employment, number of enterprises, manufacturing output and exports. In order to enable identification and facilitate development of MSMEs, Government of India has enacted the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006. The MSMED Act, 2006, was enacted to provide enabling policy environment for promotion and development of the sector by way of defining MSMEs, putting in place a framework for developing and enhancing competitiveness of the MSME enterprises.

This policy will act as a framework for lending to MSME borrowers.

2 DEFINITION OF MICRO, SMALL & MEDIUM ENTERPRISE:

- a) The MSMED Act, 2006 means 'Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 as notified by the Government of India on June 16, 2006 and amendments, if any, carried out therein by the Government of India from time to time.
- b) Micro, Small and Medium Enterprises' mean the enterprises as defined in the MSMED Act, 2006 and the amendments, if any, carried out therein by the Government of India from time to time.
- c) Priority Sector means the sectors specified in the Master Directions - Reserve Bank of India (Priority Sector Lending – Targets and Classification) Directions, 2025 dated March 24, 2025, as updated from time to time.

- 2.1** In terms of Gazette notification no.S.O.1364 (E).dated March 21, 2025 (with effect from April 1, 2025), an enterprise shall be classified as Micro, Small or Medium on the basis of the following criteria:

Category of MSME	Turnover criteria	Plant & machinery / equipment criteria
Micro enterprise	<= Rs. 10 crores	<= Rs.2.5 crore
Small enterprise	<= Rs. 100 crores	<= Rs.25 crore
Medium enterprise	<= Rs. 500 crores	<= Rs.125 crore

This criteria is subject to amendments, if any, carried out by the Government of India from time to time.

- 2.2** The above enterprises as defined in para 2.1 are required to register online on the Udyam Registration portal and obtain 'Udyam Registration Certificate'. For PSL purposes banks shall be guided by the classification recorded in the Udyam Registration Certificate (URC).

2.3 Retail and Wholesale trade are included as MSMEs for the limited purpose of priority sector lending and are allowed to be registered on Udyam Registration Portal

2.4 The certificate issued on Udyam Assist Portal (UAP) to Informal Micro Enterprises (IMEs) shall be treated at par with Udyam Registration Certificate for the purpose of availing Priority Sector Lending benefits. IMEs with an Udyam Assist Certificate shall be treated as micro enterprises for the purpose of PSL classification.

3. BANK'S STRUCTURE FOR SUPPORTING MSMEs :

The branch forms the centre to service the customer's day to day banking requirements. To cater to the lending requirements of the customer the respective Business relationship teams are based at the Branches/Area/Regional offices.

The Bank is using core banking system and is connected through all branches and is further supported by alternate channels like

- o ATMs
- o Internet Banking
- o Phone Banking
- o Mobile Banking

4. PRODUCTS AND SERVICES:

The Banks aims to provide end-to-end support for all the business requirement of MSMEs. Below is the indicative list of products and services available to the MSME customers

Products	Brief
Working Capital Facilities	
Cash Credit/Overdraft	To meet the complete working capital needs of the business
Foreign Trade Facilities	
Export Packing Credit	Finance is provided in Indian or foreign currency depending upon the need of the borrower.
Post Shipment Credit	
Bill Discounting under LC	Bill discounting is available to bridge the short term finance requirements
Business Expansion	
Term Loan	Fixed tenor loans for business expansions
For Retail Outlets	
Merchant Enterprises Overdraft/Term Loan	OD/TL against credit card receivables
Non Fund Facilities	
Letter of Credit	Bank extends Domestic and Foreign LCs and has a strong trade finance set-up.
Bank Guarantee	Banks issues various types of guarantees - performance, financial, bid bond etc.

- i) Composite loan limit of ₹1 crore can be sanctioned to the MSE entrepreneurs to avail of their working capital and term loan requirement through Single Window (through Bank's customer relationship team).

- ii) Respective Business segments and Credit team shall consider extending following facilities for providing funds in unforeseen circumstances subject to case meeting internal assessment criteria:
- Standby credit facility in case of term loans.
 - Additional working capital to meet with emergent needs of MSE units in line with the adhoc policy.
 - Mid-term review of the regular working capital limits as per specific request of the borrower, where bank is convinced that changes in the demand pattern of MSE borrowers requires increasing the existing credit limits of the MSEs, every year based on the actual sales of the previous year.

5. COMMON GUIDELINES / INSTRUCTIONS FOR LENDING TO MSME SECTOR”

i. Application

- To ensure the application process is hassle free, respective Business segments RM would collect all particulars required for processing the application for facility at the time of application. In case any additional information required, respective Business segments RM shall contact the customer, unless otherwise required, due to transactional or regulatory requirements or assessment complexities
- Status of loan application shall be updated to applicant depending on progress of application by respective Business segments RM / Credit team (Credit Manager), including communication on rejected loan application to MSME customers with reasons for rejection of loan applications within reasonable time as decided by respective Business Group Head.
- Respective Business segments RM shall furnish the indicative checklist of documents required for processing the MSME loan application to applicant at the time of applying loan. Indicative checklist is as under:
 - Application Form & KYC of Applicants
 - Constitution Documents, 3 Years ITR, Audited Financials as applicable
 - Schedules to Balance sheet, GST and Bank statements of firm
 - LEI, URC, Net worth Certificate as required.
 - Any other document as required by bank for appraisal process
- Respective Business segments and Credit team would ensure timeline for credit decisions for loans up to ₹25 lakh to units in the MSE borrowers shall not be more than 14 working days and over ₹25 lakh to be processed within 6 weeks (provided client application is complete in all respects and is accompanied by documents as per the checklist)

ii. Evaluation and Assessment of limits

Customer appraisal is a process of evaluating various risks such as Management risk, Business risk, Financial risk, Transaction risk, Security risk, Regulatory risk etc. for arriving at credit decision covering both quantitative/financial factors relating to Leverage, Interest Coverage, Profitability, Debt Service Coverage etc. as well as wide spectrum of qualitative factors such as Integrity, Borrower's market

position, Management competence, Expectation of future performance etc. Facility, tenor, security would affect the risk of the facility itself.

To support MSEs, Bank does assessment for sanctioning cases up to Rs.5 crore by surrogate method/turnover wherever meeting the internal criteria such as GST returns, Bank statements, Bureau checks etc.

Respective Business segments and Credit team shall ensure to fix sub-limits within the overall working capital limits to the large borrowers specifically for meeting the payment obligation in respect of purchases from MSMEs wherever requested by large Borrower subject to meeting internal assessment norms.

iii. **Pricing / Rate of Interest**

Respective Business segments, Credit team and Operations team shall ensure following points:

- a) Interest Rate and other charges would be as per the sanction terms as detailed in the Sanction Letter /Key Facts Statement /loan Agreement for the facility, duly acknowledged by the customer.
- b) Increase in the Fees/Charges would be notified through our website/Account statements/email/sms/notice at the branches, 30 days prior to the effective date of such increase.
- c) All floating rate loans to Micro, Small and Medium enterprise units are linked to external Benchmarks (EBLR).
- d) Not charge any processing fee for loans up to `5 lakh provided, whether sanctioned or not.

iv. **Security**

The facilities offered by banks would be secured by primary security and collateral security, wherever applicable. The evaluation and acceptability would be as per the credit policy decided by the Bank from time to time.

Respective Business segments and Credit team shall ensure not to accept collateral security in the cases of loans up to ₹10 lakh to units in the MSE sector and all units financed under the Prime Minister Employment Generation Programme (PMEGP) administered by KVIC. Also, evaluate and provide collateral free loans up to ₹25 lakh basis evaluation of financial strength and other aspects on a case-to-case basis, considering the credit profile of the borrowers.

v. **Post disbursement**

Respective Business segments, Credit team and Operations team shall ensure following points:

- a) Permit prepayment of fixed rate loans up to Rs.50 lakh without levying any prepayment penalty for MSE Borrowers.
- b) Permit prepayment of Floating loan without levying any prepayment penalty for MSE Borrowers.

vi. **Monitoring and Due Diligence**

All MSME Borrowers having credit facility with the bank would be subject to regular monitoring as per the Credit policy. These includes visits to Administrative offices and Manufacturing facilities, Regular stock statements assessments and Stock Audits, Monitoring churn in the account and other account conduct parameters like over drawings, Cheque bounces, Interest Servicing and EMI servicing, etc.

vii. **Financial Literacy, Counselling and Training**

The Central PSL team shall conduct Financial Literacy camps and credit counselling services for MSE borrowers. This helps the borrowers with their financial needs and overcome from the financial difficulties. The respective Product team shall provide regular training to Branch level functionaries and field staff to create awareness on MSME lending and encourage MSE borrowers to avail Credit Guarantee Scheme (CGS) of CGTMSE.

viii. **General Credit Card (GCC) Facility**

Bank has Corporate Credit Card policy in place and eligible MSEs can be granted this facility subject to meeting the norms set as per Bank's policy.

6. RELATED POLICIES

This policy should be read in conjunction with related policies formulated by the bank from time to time. The indicative list of the related policies are listed below which are also hosted on the Bank web site.

- a) Policy and Process for Revival & Rehabilitation of MSMEs.
- b) Compromise settlements Policy.
- c) Code of Bank's Commitment to MSEs.

MOST IMPORTANT TERMS AND CONDITIONS (MITC) - PERSONAL LOAN

Purpose of Loan:

Personal Loan ("Loan") can be granted for personal needs except for prohibited purposes like speculative activities. It can be granted to salaried persons and professionals on fulfillment of eligibility parameters.

Rate of Interest (ROI):

The ROI stays fixed throughout the tenure of the Loan. Interest on the Personal Loan will be charged amount in EMI (Equated Monthly Installment) at the rate as set out in the sanction letter and loan agreement.

Repayment:

Loan shall be repaid by way of Equated Monthly Installments (EMI) over the tenure of the Loan. The Repayment of the Loan shall commence from the date specified by the Bank at the time of disbursement.

Modes of Repayment: Repayment can be made by way of ECS or Standing Instruction (in case Customer has a Bank Account with Kotak Mahindra Bank Limited) or any other mode acceptable to the bank.

The payment options will be subject to the terms and conditions of banking services and facilities. Depending on the payment options available, the Customer shall take necessary measures to ensure that payments are credited on or before the due date.

Loan Tenure:

Minimum tenure is 1 year and maximum is 6 years. This is subject to change basis changes in bank's credit policy.

Drawdown:

The Personal Loan amount should be availed within 30 days from the date of the sanction of the Personal loan. The Bank may cancel the drawdown of the loan at any point of time, at its sole discretion.

Security:

The Loan is unsecured in nature.

Schedule of Charges:

S.N.	Item	Particulars
1	Interest Rate (fixed)	Starting from 10.99% p.a.
2	Loan Processing Fee (Non-refundable)	Up to 5% of the final loan amount plus taxes. Will be deducted from the loan amount at the time of disbursal
3	Stamp Duty charges	Applicable as per the respective State's Stamp Act
4	Penal charges on Overdue EMI	Amounts standing unpaid on respective due dates shall attract penal charge at 8% per annum (to be charged for actual no. of days) on overdue amount plus applicable taxes.
5	EMI dishonour/ Bounce charges	INR 750/- plus taxes per instance
6	Swap Charges (Change in repayment mode or repayment instrument or EMI date)	INR 500/- plus taxes per instance
7	Lock-in period	No lock-in period post payment of first EMI
8	Foreclosure charges	Up to 3 years : 4% + taxes on outstanding principal After 3 years : 2% + taxes on outstanding principal
9	Part pre-payment charges	For loans disbursed on or before 1st February 2020: Part Pre payment is not allowed. For loans disbursed after 1st February 2020 : Post completion of 12 months - Part-Prepayment is allowed up to 20% of Principal loan outstanding. It is allowed once a year. Charge per instance of part payment is INR 500 plus taxes
10	Physical SOA / Amortization Schedule	Once in a year - No charge Post that - INR 200 plus taxes per request
11	Legal charges	At actuals

Disclaimer: The above charges are indicative and subject to change basis agreement between bank and the borrower. The fees and charges are subject to revision by Kotak Mahindra Bank from time to time. If there are any changes in the fees and charges structure, the same will be updated on the Bank's website.

Note:

- Any other product-specific charges shall be informed separately prior to availing of the Loan. Charges for other Services would be specified as applicable.
- Taxes / other statutory levies may be charged if applicable as per Government / RBI directives.
- The Bank reserves the right to alter any charges or fees from time to time or to introduce any new charges or fees, as it may deem appropriate by giving prior notice as prescribed by RBI and/or as published on the Bank's website-www.kotak.com

Default:

In case the Amount Due is not paid by the Due Date, the Bank will inform the Customer for payment of the Loan Outstanding by E-mail or SMS or Phone or through Third Parties appointed for collection purposes to remind, follow-up and collect Dues. This will be done on best effort basis depending on customer's availability and contactability. Any Third Party so appointed, shall adhere to the Indian Banks Association's (IBA) Code of Conduct on Debt Collection.

In case any amount due is not paid by the due date, the same will constitute an Event of Default and the Bank will be entitled to call upon the customer to recover the dues or take such other action which the Bank may be entitled to take in terms of the loan documents.

Customer Service:

For any queries or clarification, Please call our Customer Contact Centre on 1860 266 2666 (local call rates apply) between 9:00am to 7:00pm from Monday to Saturday, excluding holidays. Also, you can visit our website, www.kotak.com for more details.

Disclaimer:

Credit is at the sole discretion of **Kotak Mahindra Bank Limited** and is subject to Collection and Verification of Documents and other Information, Credit Bureau Checks, Personal Discussion (PD), and other Checks as may be felt necessary by the Bank. The Final Offering may be different from any initially communicated offer. The Bank may make available any information in the Application Form and other Documents submitted to the Bank and information pertaining to the Loan to any institution or body. Bank shall be in no way responsible for non-receipt of intimations/communications to the previously registered Addresses, Phone Numbers, Mobile Numbers, E-mail ID, etc. The MITC are only indicative and not exhaustive. For detailed terms and conditions of the loan, please refer to the Loan Agreement. In case of contradiction in the MITC and provisions of the Loan Agreement, provisions contained in the Loan Agreement shall prevail.